US Fast-Casual Restaurant Industry Deep Dive

Executive summary

US fast casual is a ~$80B category whose growth is slowing from ~9% to ~6% a year, now driven by new stores rather than more visits; for Chipotle this supports a growth runway but not margin expansion.

- **Growth is maturing.** Top-500 fast-casual sales rose 6% in 2025 vs ~9% a year before, with unit growth of 5.1% doing most of the work.
- **Value is the battleground.** McDonald's sub-$3 McValue menu and casual dining are pulling visits back; 8.1% of QSR visits now come from fast casual.
- **Costs are rising structurally.** Beef supply is at a 75-year low and wage floors keep rising, so food and labor (over half of every sales dollar) face pressure.
- **The structure is tough.** Five Forces show high rivalry, entry and substitution; scale, not the menu, is the moat.
- **Chipotle is outperforming a weak industry.** Positive transactions for three straight quarters in 2026, but its 19.5x EV/EBITDA is above the 16.8x peer median, so the market already prices in recovery.

1. Market size & growth

US fast casual is a roughly $77–84B market that doubled in a decade, but growth is now slowing toward the pace of new-unit openings, with little help from traffic.

Metric	Value	Source
Fast-casual sales, 2015	$37.2B	Technomic via NRN
Fast-casual sales, 2025 (forecast)	$84.1B	Technomic via NRN
Top 500 fast-casual chain sales, 2025	~$77B, +6%	Technomic via Restaurant Business
Fast-casual sales growth, prior 3-year average	~9% a year	same
Fast-casual unit growth, 2025	+5.1% (2024: +4.8%)	same
Total limited-service sales, 2025	$361.5B, +3.1%	same

Metric	Value	Source
Fast-casual locations, 2015 → 2025	27,925 → 44,098	Technomic via NRN

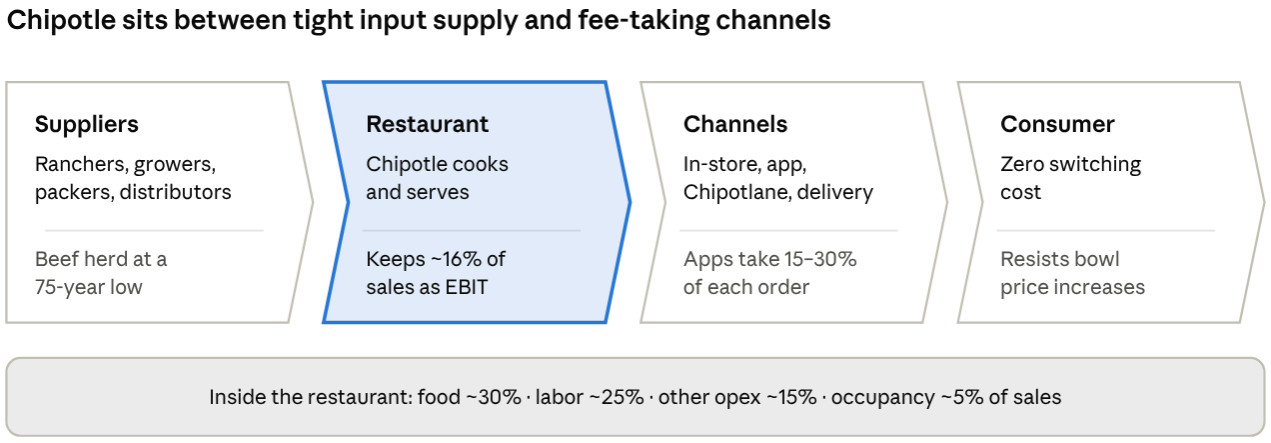
Growth is now mostly new stores, not more visits. In 2025 fast-casual sales grew 6% while units grew 5.1%, so existing stores added only about 1 point. Technomic data show fast-casual traffic growth fell from about +3.3% in December 2024 to +1.7% in October 2025, while quick-service traffic recovered from −3.6% to +0.7%.

2026 has been tougher. Across the whole US restaurant industry, Black Box Intelligence reported same-store traffic of −2.3% in March 2026, the eighth straight negative month, with gas prices above $3.50 a gallon and weak sentiment cited (Black Box).

Fast casual is losing its value edge. 8.1% of recent quick-service visits were taken from fast casual, up from 6.9% a year earlier, and fast casual's value scores improved least of the three segments (Technomic via NRN). Consumers are pushing back on years of bowl price increases.

2. Value chain

A company-operated chain like Chipotle owns the middle of the chain, squeezed by scarce inputs upstream and by fee-taking delivery apps and price-sensitive diners downstream.



fast-casual value chain · 4 stages, Chipotle FY2025 cost shares

Chipotle buys from suppliers, cooks in its own stores and sells through four channels. Its scale gives purchasing leverage, but beef supply and delivery commissions are set by others. Cost shares are from Chipotle's FY2025 10-K; sources for the notes are in Sections 5 and 6.

3. Key players

Chipotle is the scale leader of company-operated fast casual, about 8x CAVA's revenue, but it now grows slower than the newer concepts and trades above the peer median multiple.

Company	Model	Revenue TTM ($B)	EBITDA margin	Revenue growth (fcst)	EV / EBITDA
Chipotle (CMG)	Company-operated	11.93	19.9%	7.9%	19.5x
CAVA	Company-operated	1.18	12.2%	26.8%	46.9x
Shake Shack (SHAK)	Company-operated	1.45	12.5%	17.3%	15.6x
Sweetgreen (SG)	Company-operated	0.68	−9.2%	−0.6%	NM
McDonald's (MCD)	Franchised	26.89	54.6%	6.3%	16.1x
Yum! Brands (YUM)	Franchised	8.21	33.9%	10.3%	19.0x
Wingstop (WING)	Franchised	0.70	42.8%	6.9%	17.5x
Domino's (DPZ)	Franchised	4.94	21.5%	4.5%	14.3x

EV = market cap + debt (incl. leases) − cash, recomputed from TipRanks inputs; data dated Oct 9 – Nov 2, 2026. Peer median EV/EBITDA is 16.8x. Full detail is in the Comps tab of the DCF model.

Two business models, two margin structures. Franchisors collect royalties without owning most stores, so their EBITDA margins run 21–55%. Company-operated chains keep all store revenue and all store costs, so margins sit at 12–20%, but they control growth and brand.

The newer concepts are taking share. In 2025, CAVA's sales rose 22% to over $1B and Shake Shack's domestic sales rose over 15%, while Panera fell nearly 3% and Sweetgreen grew only 0.4% despite 14% more units (Restaurant Business). Mediterranean is the hottest cuisine: Naya +41%, Great Greek +36%.

4. Porter's Five Forces

Fast casual is a structurally tough industry: low switching costs and constant new entry keep competition high, so long-run returns go to the few brands with scale and pricing power.

Force	Intensity	Evidence
Rivalry among competitors	High	44,098 fast-casual locations in 2025, up 58% in a decade; QSR value menus under $3 and casual dining both fight for the same occasions
Threat of new entrants	High	A concept can scale from one store; Mediterranean newcomers grew 22–41% in 2025. Barrier: national scale needs real estate, supply chain and a digital app
Threat of substitutes	High	Grocery prepared meals, meal kits, cooking at home and QSR; GLP-1 users halve restaurant visits
Bargaining power of buyers	Medium–High	Each diner has zero switching cost and is price-sensitive in 2026; but buyers are fragmented, and loyalty apps add some stickiness
Bargaining power of suppliers	Medium	Beef is tight (smallest herd in 75 years) and labor is set by wage law; but large chains buy at scale and use forward contracts. Delivery platforms hold 15–30% commission power

Conclusion: average profitability across the category is modest, and it is eroding as costs rise. Scale players such as Chipotle defend margins through purchasing, a tight menu and high-throughput kitchens; that scale is the moat, not the food.

5. Regulation & trends

Five trends are reshaping the category at once: labor cost floors, protein inflation, a fast-food value war, GLP-1 drugs and digital ordering; on balance they raise costs faster than they raise demand.

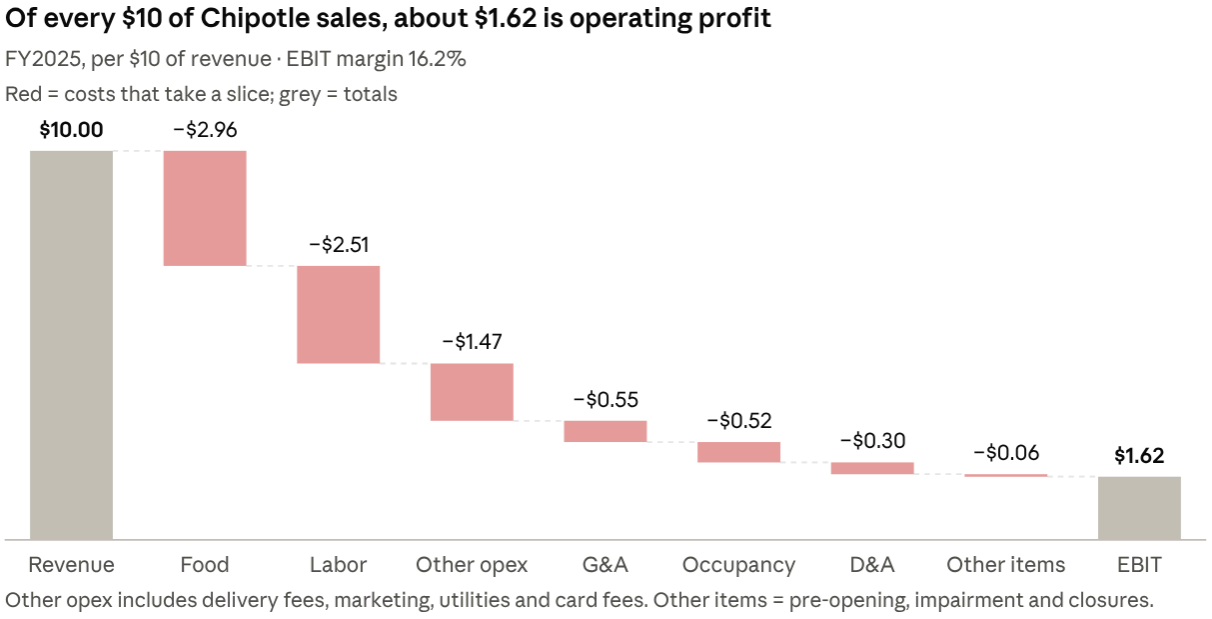
Trend	What is happening	Effect on fast casual	Effect on Chipotle
Labor cost floors	California's AB 1228 set a $20/hour minimum for fast-food chains. UC Berkeley found pay up ~18% and prices up ~3.7%; UC Santa Cruz (Mar 2026) found fewer hours and faster automation (CalMatters). Chipotle's 10-K also cites fair-workweek and paid-sick-time laws.	Negative: labor is ~25% of sales for company-operated chains	Negative: labor rose to 25.7% of revenue in Q3 2026
Protein inflation	US beef herd is the smallest in 75 years; ground beef is up 51% since Feb 2020 and USDA expects lower beef output into 2026 (NPR).	Negative for protein-heavy bowls and burgers	Negative: beef and freight inflation offset tariff relief in Q3 2026
Fast-food value war	McDonald's launched a 10-item McValue menu under $3 in April 2026 after US traffic fell ~2% in late 2025; food-away-from-home prices rose 7%, 4% and 3.8% in 2023–2025 (AZFamily/AP).	Negative: QSR takes back visits (8.1% of QSR visits now come from fast casual)	Mixed: Chipotle claims prices 20–30% below peers and avoids deep discounts
GLP-1 weight-loss drugs	Users eat out ~4.9 times a month vs 9.8 before, but total spend is down only 4%; 70% eat smaller portions and shift toward bowls and salads (William Blair).	Mixed: QSR hit hardest; bowl formats benefit	Mixed to positive: customizable, protein-forward bowls fit the shift

Trend	What is happening	Effect on fast casual	Effect on Chipotle
Digital & delivery	Chipotle's digital mix was 36.7% of food and beverage revenue in 2025; over 16% came via third-party delivery (FY2025 10-K). DoorDash charges 15–30% on delivery (DoorDash).	Margin drag on delivery; order-ahead pickup is cheaper	Positive: ~80% of new units get a Chipotlane drive-through pickup lane

Net read: the cost trends hit every operator, so the winners are chains with pricing power and scale buying, not the cheapest.

6. Profit pool

The richest slice of the restaurant profit pool goes to franchisors and to whoever controls scarce inputs (beef, labor, delivery demand); company-operated chains like Chipotle keep about 16 cents of each sales dollar.



Chipotle FY2025 10-K income statement · $11.93B revenue rescaled to $10

Food and labor take more than half of every dollar, so a 1-point move in either changes operating profit by about 6%.

Who else takes a slice:

- **Franchisors** earn royalties on sales they do not cook: McDonald's runs a 54.6% EBITDA margin and Wingstop 42.8%, versus 19.9% at Chipotle (Section 3).

- **Delivery platforms** take 15–30% of each delivery order (DoorDash); delivery was over 16% of Chipotle's 2025 food and beverage revenue.
- **Ranchers** hold pricing power while the US cattle herd is at a 75-year low (NPR).
- **Workers** gain through wage laws such as California's $20 minimum, about 18% higher pay (CalMatters).

Implication: a company-operated chain grows its profit pool mainly by adding stores and by squeezing more sales through each kitchen, since it cannot push input costs down by much.

7. Implications for Chipotle

Chipotle's 2025 slowdown was mostly industry-wide, and in 2026 it is beating the industry on traffic; the bigger risk to the investment case is cost inflation, not demand.

Industry or company problem? Both, but mostly industry:

- **Industry:** fast-casual traffic growth fell to +1.7% by October 2025, and total US restaurant traffic was negative for eight straight months into March 2026. Chipotle's 2025 comps of −1.7% fit that pattern.
- **Company:** Chipotle lost share of wallet in Q3 2025 while CAVA and Shake Shack gained (Consumer Edge via NRN). Part of CAVA's 22% growth, though, is new stores on a base about 1/10 of Chipotle's.
- **2026 recovery:** Chipotle posted three straight quarters of positive transactions, with comps of +2.2% in Q2 and +2.1% in Q3, while industry traffic stayed weak. That is relative outperformance.

How the industry evidence tests the DCF base case:

DCF assumption	Base case	Industry evidence	Verdict
Unit growth	~7.5% a year	Category units grew 5.1% in 2025; Chipotle guides 340–360 US/Canada openings in 2027	Supported: Chipotle opens faster than the category
Comparable sales	2–3% a year	Category traffic is weak; value war and GLP-1 cap visits; Chipotle is already at +2%	Reasonable, little upside

DCF assumption	Base case	Industry evidence	Verdict
Labor % of revenue	25.5% → 25.0%	Wage floors and fair-workweek laws keep rising; Q3 2026 was 25.7%	At risk: easing assumes sales leverage
Food % of revenue	29.5%	Beef herd at a 75-year low; USDA sees lower supply into 2026	At risk: needs menu pricing the value war may not allow
Exit multiple	14x EBITDA (ex-leases)	Peer median ~14.5x on the same basis	Supported

What this means for the pitch: the industry backs Chipotle's growth runway but argues against margin expansion. That supports a Hold, with labor and beef costs as the key risks, and a sustained comps recovery above 3% as the upside catalyst.

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